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Insurance Is a Hedge for Human Capital

"...I am young and healthy so I don't need any life insurance, yet. I'll think about it more seriously once I get much older and am more likely to die...."

Myth #2

A few years ago an older MBA student in one of my courses complained to me during a lecture on insurance that he had been diligently paying premiums for years on a multimillion dollar term life insurance policy. With the benefit of hindsight, he was frustrated at all the money he had wasted on the life insurance policy, with no investment return to show for it. I replied, jokingly, that my wife was actually Italian with strong family connections in Sicily, and I might know some people who know some people who might be able to arrange for a large return on his investment; in the style of Tony Soprano.

Life insurance policies, and for that matter, almost all financial instruments that we purchase for risk management purposes, should not be viewed as investments, but as hedging instruments. Oddly enough, the goal for most of these hedges is, in fact, to lose or waste the money. After all wouldn't you and your family rather have you and your human capital, as opposed to the million-dollar payoff? I certainly hope the answer is, "yes."

Nevertheless, to understand the role and pricing of insurance in a more detailed way—and to see how it fits in the "are you a stock or a bond" theory of human capital—in this chapter, I explain how this hedge works in theory and in practice. You will gain a better appreci-